

BRIGHTCART FINANCIAL INITIATIVE

E-Commerce Profitability Analysis

TRUE MARGIN AUDIT

PREPARED BY
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TARGET
ENTERPRISE
**BrightCart
Retail**

ANALYSIS PERIOD
**24-Month
Dataset**



Profit Margin Audit

TRUE MARGIN AUDIT

MOST PROFITABLE

41.54%

Electronics Category

LEAST PROFITABLE

25.95%

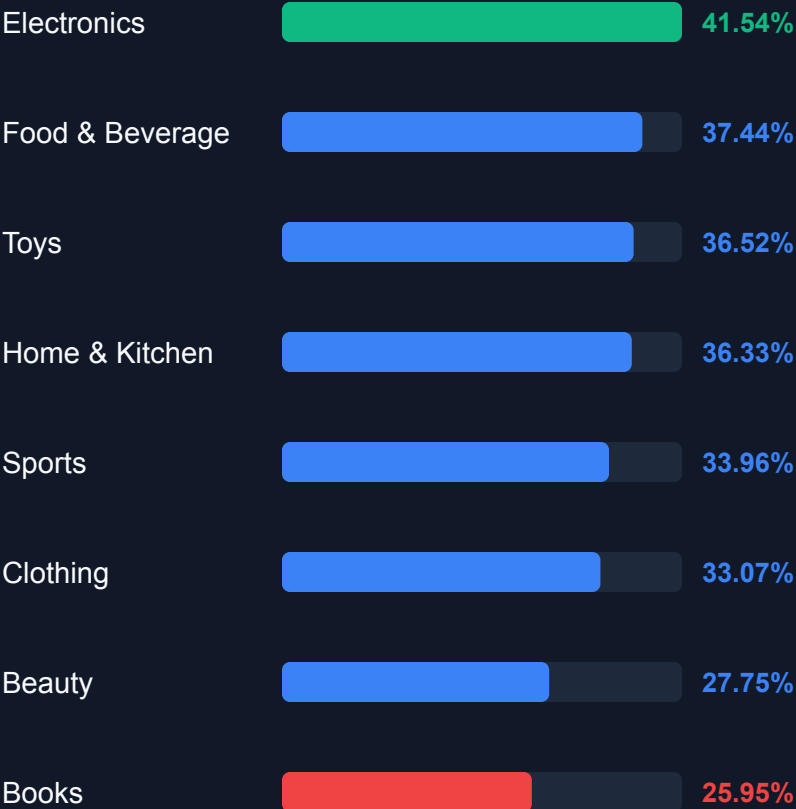
Books Category

AVERAGE PROFIT MARGIN

34.1%

Mean margin across all 8 categories

PROFIT MARGIN BY CATEGORY



Shipping Cost Drives the Margin Gap

Between Electronics (highest margin) and Books (lowest), **shipping cost** shows the most severe variance with a difference of **-14.44%**, directly eroding Book profitability.

STRATEGIC RECOMMENDATION

Implement a minimum order value for free shipping on Books to protect net margins.

Sales Channel Profitability Analysis

TRUE MARGIN AUDIT

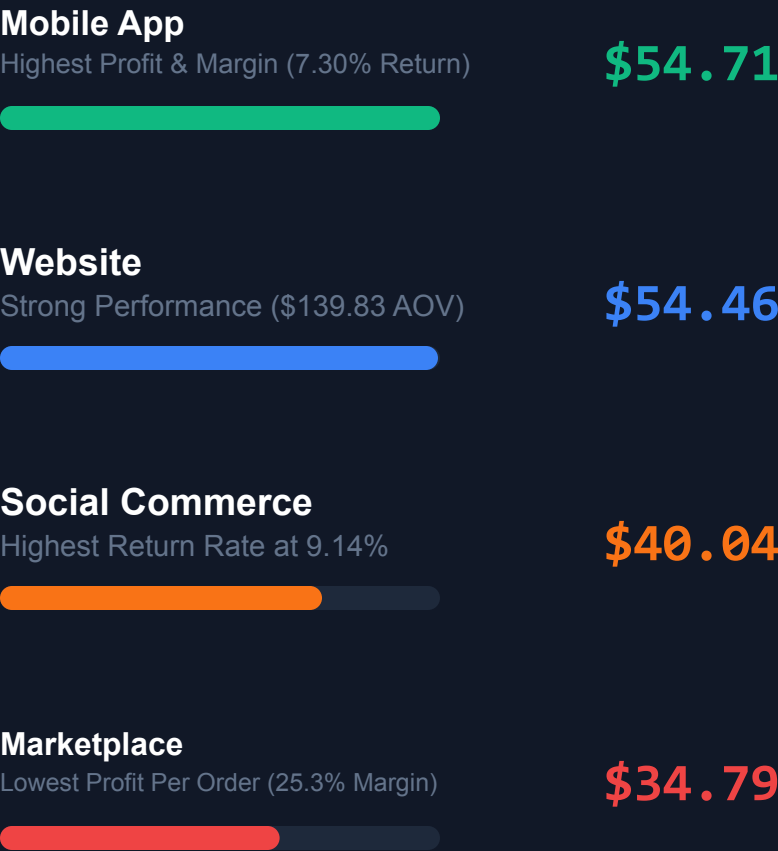
Mobile App Dominates Profit Per Order

Our analysis reveals that the **Mobile App** channel is the most lucrative, delivering the highest profitability with a profit per order of **\$54.71** and a profit margin of **38.95%**.

In contrast, the third-party **Marketplace** is the least profitable channel, yielding only **\$34.79** profit per order. Despite its low return rate of **6.44%**, heavy platform fees directly erode net margins down to **25.3%**.

While **Website** transactions maintain high average order values (\$139.83), optimizing mobile engagement remains the primary driver for bottom-line growth.

PROFIT PER ORDER BY CHANNEL



Return Rate Analysis

TRUE MARGIN AUDIT

TOTAL REVENUE LOST TO RETURNS

\$22,206.76

Aggregated margin leakage due to product returns across channels

Social Commerce Drives Peak Return Rates

Our audit confirms that **Social Commerce** experiences the highest rate of product returns, peaking at **13.33%** in the Clothing category.

This is followed closely by Home & Kitchen and Books on social channels (both at **13.04%**), suggesting standard social discovery triggers higher post-purchase cognitive dissonance.

Conversely, **Marketplace channels** show strong operational stability with return rates dipping as low as **1.61%** for Food & Beverage and **1.92%** for Sports, balancing overall losses.

CHANNEL & CATEGORY RETURN RATE

Social Comm. Clothing		13.33%
Social Comm. Kitchen		13.04%
Social Comm. Books		13.04%
Social Comm. Food		12.50%
Marketplace Clothing		11.67%
Website Electronics		9.90%
Mobile App Sports		9.47%
Website Toys		6.31%
Marketplace Sports		1.92%
Marketplace Food		1.61%

ROAS Performance Audit

CAMPAIGN METRICS

Q: Which platform delivers the best ROAS?

TikTok Ads leads the portfolio with an outstanding ROAS of **24.02x**, closely followed by **Influencer Campaigns** at **22.70x**. Both platforms successfully leverage high engagement to maximize conversion efficiency.

Q: Are we spending without positive returns?

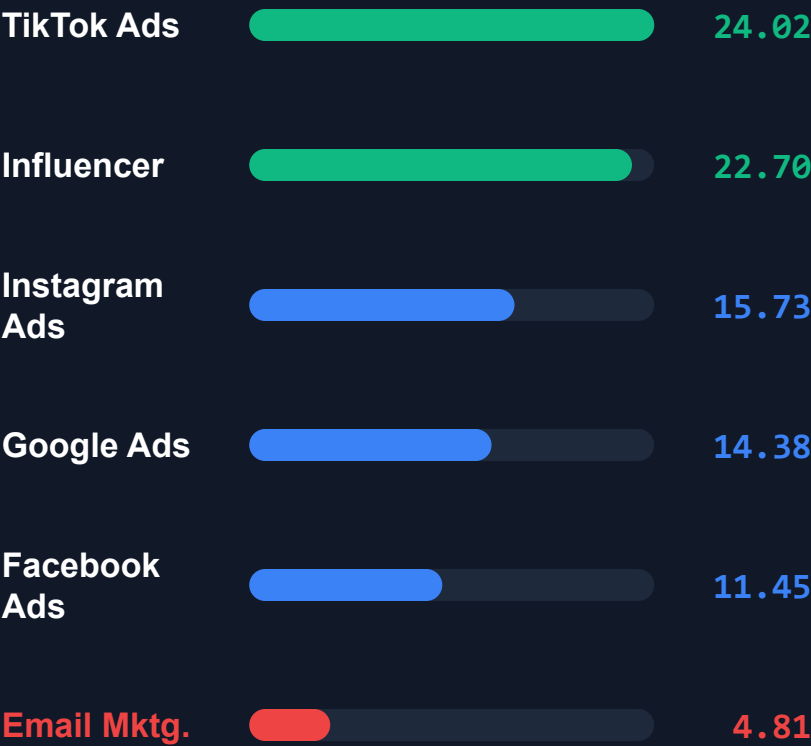
Email Marketing represents a severe capital leak with an unsustainable ROAS of **4.81x**. This poor performance is heavily driven by an extremely high Customer Acquisition Cost (CPA) of **\$17.86**, making it highly inefficient.

TOP PERFORMING PLATFORM (BY ROAS)

TikTok Ads **24.02x**

Delivers optimal efficiency with the lowest CPA of \$3.06

ADVERTISING PLATFORMS RANKED BY ROAS



ACQUISITION EFFICIENCY (CPA)

Lowest Cost: **\$3.06 (TikTok)**

Highest Cost: **\$17.86 (Email)**

Budget Optimization Strategy

BUDGET REDUCTION

Q: Where can we safely cut 20% of the budget?

Our audit identifies exact platform-month combinations representing **\$107,858.92 (20% of total spend)** that generate unsustainable, sub-optimal returns.

Strategic Allocation Recommendation

Email Marketing is the primary source of capital leakage, consistently yielding a ROAS under **5.0x** across multiple months (peaking at a critically low **0.67x** in Dec 2025).

We advise immediate suspension of these identified low-performing periods, redeploying capital toward high-performing campaigns to protect net portfolio profitability.

RECOMMENDED BUDGET CUT SAVINGS

\$107,858.92 (-20.0%)

Secures immediate 20% savings by cutting 34 lowest-performing platform-month campaigns

34 TARGET CAMPAIGNS (BY ROAS PERFORMANCE)

Campaign (Platform & Month)		ROAS
Email Mktg 2025-12		0.67x
Email Mktg 2025-10		1.21x
Email Mktg 2025-07		1.74x
Email Mktg 2024-06		1.80x
Facebook Ads 2025-09		2.51x
Email Mktg 2024-10		2.52x
Facebook Ads 2024-08		3.09x
Email Mktg 2025-06		3.22x
Google Ads 2025-03		3.32x
Email Mktg 2025-11		3.36x
Email Mktg 2024-11		3.37x
Email Mktg 2025-02		3.63x
Influencer 2025-01		3.78x
Google Ads 2025-09		3.84x
Email Mktg 2024-09		3.89x
Google Ads 2025-02		3.89x
Google Ads 2025-07		4.27x
Facebook Ads 2025-11		4.44x
Influencer 2025-09		4.57x
Facebook Ads 2025-03		4.60x
Email Mktg 2024-01		4.86x
Email Mktg 2024-04		4.89x
Email Mktg 2024-08		4.97x
Influencer 2024-11		4.97x
Facebook Ads 2025-01		5.01x
Email Mktg 2025-01		5.13x
Instagram Ads 2025-11		5.19x
Instagram Ads 2024-11		5.76x
Influencer 2024-04		5.83x
TikTok Ads 2024-08		6.01x
TikTok Ads 2024-12		6.28x
Facebook Ads 2024-10		6.48x
Email Mktg 2025-03		6.57x
Facebook Ads 2024-11		6.60x